

WEEKLY MERCHANDISE TRADING REPORT

WEEK 32 - FY2026

CANADIAN RETAIL DIVISION

Merchandise planning - inventory optimization - action intelligence

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Executive Trading Overview

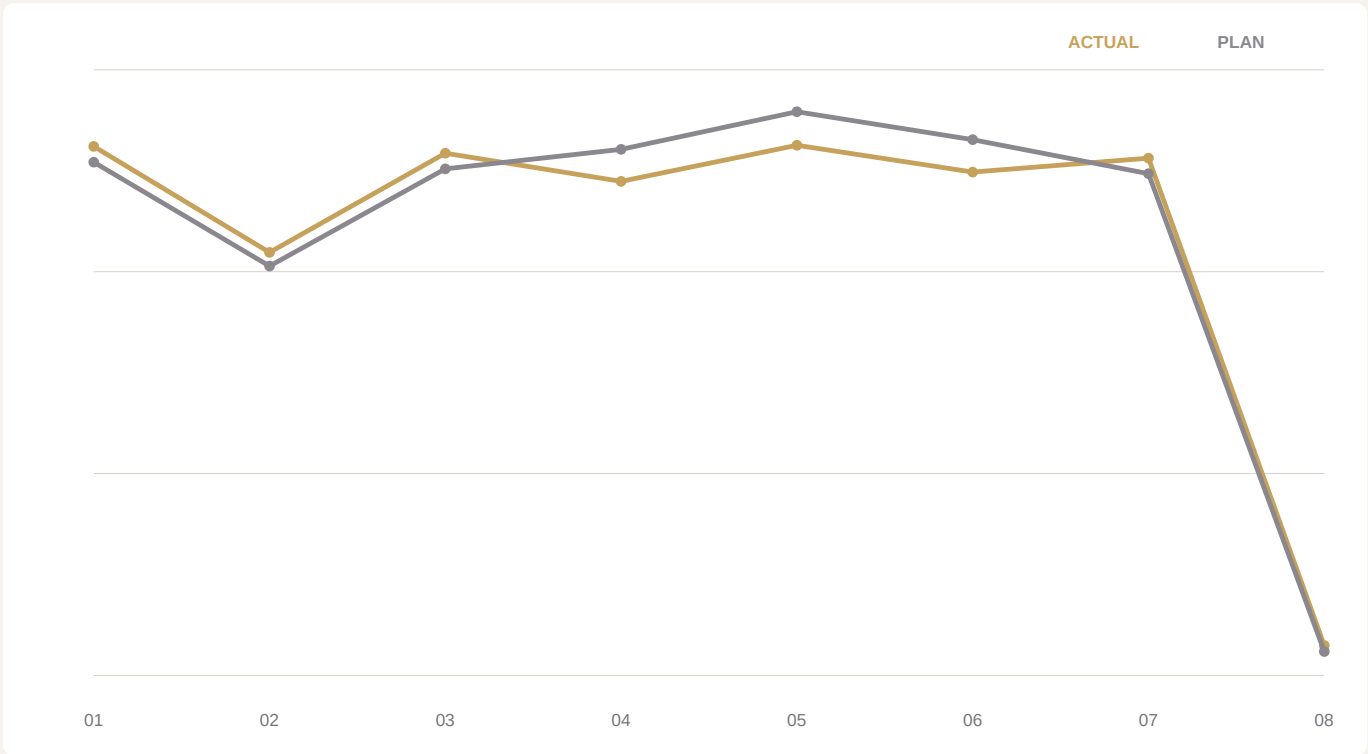
Sales, margin and inventory performance against plan

NET SALES \$9.5M +4.2% vs plan	GROSS MARGIN 51.9% +90 bps vs target	SELL-THROUGH 62.4% 13-week view	INVENTORY \$1.1M 7.8 WOS
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MANAGEMENT SUMMARY

Net sales finished 4.2% above plan with gross margin at 51.9%. Lighting remains the strongest assortment productivity opportunity. Inventory exposure is concentrated in premium furniture and selected seasonal lines, while high-conversion lighting and decor require immediate replenishment. The priority is to transfer inventory before markdown, protect availability in Halifax and Toronto, and tighten next-season commitments for winter comfort.

SALES TREND



Category and Inventory Position

Where to invest, reduce and rebalance

CATEGORY PRODUCTIVITY

CATEGORY	SALES	SALES %	INV %	SALES/SKU	SIGNAL
Tables	\$905K	9.6%	10.9%	\$10K	HOLD
Accent Furniture	\$824K	8.7%	10.1%	\$7K	HOLD
Seating	\$757K	8.0%	10.6%	\$9K	REDUCE
Floor Lamps	\$671K	7.1%	4.5%	\$15K	INVEST
Pendants	\$657K	6.9%	5.0%	\$16K	HOLD
Table Lamps	\$629K	6.6%	3.8%	\$10K	INVEST
Wall Decor	\$526K	5.5%	6.4%	\$3K	HOLD
Cookware	\$510K	5.4%	4.8%	\$4K	HOLD

INVENTORY REBALANCING PRIORITIES

SKU	PRODUCT	FROM	TO	UNITS	WOS
ORG1744	Noir Glass House	Moncton	Halifax	6	8.7 -> 0.0
HAL2007	Marlow Rattan Edit	Charlottetown	Halifax	8	8.8 -> 0.9
CHR1969	Arc Marble Collection	Moncton	Toronto	12	9.4 -> 1.1
HAL2018	Mira Marble Form	London	Ottawa	16	10.0 -> 1.3
CHR1940	Luna Cotton Collection	Kingston	Mississauga	20	10.6 -> 1.5
CHR1953	Avery Cotton Atelier	Charlottetown	Halifax	8	11.2 -> 1.7

TRADING ACTION

Execute priority transfers within 48 hours. Replenish high-conversion lighting, reduce future premium furniture intake, and defer markdown until rebalancing opportunities are exhausted.

Action Plan and Next Week Priorities

Markdown, seasonal and vendor decisions

MARKDOWN AND EXIT STRATEGY

SKU	PRODUCT	CATEGORY	ST%	WOS	ACTION
CHR1982	Avery Marble Object	Christmas Decor	33.3%	63.7	MARKDOWN
CHR1984	Vale Brass Atelier	Christmas Decor	30.0%	74.3	MARKDOWN
CHR1966	Ridge Glass Atelier	Christmas Decor	30.8%	71.7	MARKDOWN
CHR1928	Mira Rattan Studio	Christmas Decor	27.3%	85.0	MARKDOWN
CHR1929	Cove Marble Vessel	Christmas Decor	33.3%	63.7	MARKDOWN
CHR1949	Vale Rattan Form	Christmas Decor	25.0%	95.6	MARKDOWN

NEXT-SEASON DECISIONS

Christmas Decor	+18.3%	Increase
Giftware	+9.2%	Maintain
Summer Living	+7.1%	Maintain
Halloween	-5.8%	Maintain
Winter Comfort	-13.7%	Reduce

VENDOR PORTFOLIO

01	Maison Source Co.	97 / 100
02	Calder & Finch	96 / 100
03	Forma Studio	95 / 100
04	Hearthwell	94 / 100
05	Arc & Ash	93 / 100

NEXT WEEK - FIVE PRIORITIES

1. Execute eight store-to-store transfers and confirm receipt within 48 hours.
2. Release replenishment orders for critical lighting and decor SKUs.
3. Apply staged markdowns to seasonal exit candidates with more than ten WOS.
4. Increase next-season Christmas decor commitment by approximately 12%.
5. Review low-service vendors and protect open-to-buy capacity before new commitments.